PROXY

SOLICITED BY MANAGEMENT

The undersigned shareholder of Canada Bread Company, Limited hereby appoints Michael H. McCain, or failing him, Richard A. Lan, or failing both of the foregoing, G. Wallace F. McCain or in lieu of the foregoing _____ as proxy of the undersigned, with power of substitution, to attend, act and vote for and on behalf of the undersigned at the **Annual and Special Meeting of Shareholders (the "Meeting") of Canada Bread Company, Limited (the "Corporation") to be held on the 1st day of May, 2003, and at any adjournment or adjournments thereof.**

The shares represented shall be voted:

(a) FOR ____ WITHHOLD FROM VOTING FOR ____, the election of the persons nominated as directors set forth under the heading "Election of Directors" in the accompanying Management Information Circular;

(b) FOR ____ WITHHOLD FROM VOTING FOR ____, the appointment of KPMG LLP, Chartered Accountants, as auditors of the Corporation at such remuneration as the directors may fix;

(c) FOR ____ AGAINST ____, the confirmation of the repeal of the former By-laws Number 1 through 66 and the substitution by the new By-law Number 67 as set out in the accompanying Management Information Circular and Schedule "A" thereto; and

(d) at the discretion of the nominee in respect of amendments to matters identified in the Notice of Meeting and other matters that may properly come before the Meeting or any adjournment or adjournments thereof

DATED this ____ day of _____, 2003

_____
Signature of Shareholder

Notes:

(1) A shareholder has the right to appoint a person (who need not be a shareholder) to represent him or her at the meeting other than the persons designated in this form of proxy. Such right may be exercised by filling in the name of such person in the blank space provided or by completing and depositing another form of proxy.

(2) In the absence of any specification above, this proxy will be voted for the election of the persons nominated as directors in the accompanying Management Information Circular, for the appointment of KPMG LLP Chartered Accountants, as auditors of the Corporation at such remuneration as the directors may fix and for the confirmation of the repeal of the former By-laws Number 1 through 66 and the substitution by the new By-law Number 67 as set out in the accompanying Management Information Circular and Schedule "A" thereto.

(3) A proxy must be executed by the shareholder or his or her attorney authorized in writing.

(4) If you are unable to be present at the meeting, please sign and return this proxy in the enclosed envelope.

(5) If this proxy is not dated, it will be deemed to bear the date on which it is mailed by the Corporation.